HOW UDAY KOTAK FIXED IL&FS

Charged with resolving much of the broken lender's debt of nearly Rs 1 lakh crore, the banker has nearly pulled it off

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THE 'A' TEAM L-R, IL&FS CMD C.S. Rajan, Uday Kotak and exeutive director Nand Kishore at a press conference in Mumbai, Mar. 29

When the crisis at IL&FS (Infrastructure Leasing & Financial Services) exploded in September 2018, many saw it as India's Lehman Brothers moment, when the US investment banking firm collapsed ahead of the 2008 global financial crisis. The concern was that the fall of one of India's biggest financiers of infrastructure projects in the NBFC (non-banking financial company) space would trigger a spate of such crashes and loan defaults, sending lakhs of crores of rupees of public money down the drain and leading to thousands of job losses. IL&FS had amassed a debt of Rs 99,355 crore—nearly as much as the Centre's allocation to states to build infrastructure projects this fiscal—the bulk of it borrowed from public sector banks, and was in no position to repay it. The company closed the 2017-18 financial year with revenues of Rs 18,799 crore on a consolidated basis, and a loss of Rs 1,886.85 crore. In a swift action akin to the one taken in the January 2009 'Satyam Scam', the Centre in October 2018 replaced the entire IL&FS board with a new, six-member board, and made Uday Kotak, managing director & CEO of Kotak Mahindra Bank, its non-executive chairman. On April 2, as Kotak's term at IL&FS ended and he passed on the baton to the current chairman & managing director C.S. Rajan, the company claimed